
RaceSims • Chennai

PREMIUM SIM-RACING CENTRE — PROJECT REPORT

8 rigs

7 race + 1
motion

₹76.3L

net capital

₹3.57

cr

5-yr EBITDA

~2.1 yrs

payback

Racesims Solutions Pvt Ltd • Chennai • opens July 2026

Drive • Train • Compete

Executive Summary

THE OPPORTUNITY, IN ONE PAGE

RaceSims · Chennai is an **8-rig premium sim-racing centre** (7 race/rally + 1 three-DOF motion) opening **July 2026** under Racesims Solutions Pvt Ltd. Rigs are deployed at **distributor cost** (₹50.8L vs ₹85–95L retail) — most of the capital is a resaleable asset. The building is brand-new with power and fire systems in place, so the fit-out is room-only.

10.0% operating break-even	₹8.6–29.3L Year-1 EBITDA range	₹2.11 cr 5-yr profit after tax	~2.8× capital multiple (5-yr)
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Operating costs are covered at just **10% occupancy** (11.7% including the cost of capital); a comparable operating dealer already runs at ~20% by month 6. The five-year base case is deliberately conservative — sim sessions only (café and academy excluded as upside), occupancy 18→35%, full corporate tax, and an 8% cost of capital throughout.

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1 · Concept & Configuration

WHAT IT IS

A professional motorsport-development venue — not a gaming café — positioned via **Drive · Train · Compete**. Phase 1 is sim sessions only; café and academy layer on as the base proves out.

CONFIGURATION		PRICING (GST-INCL.)	30 MIN	1 HR
Rigs	7 race + 1 motion (3-DOF)	Race / rally	₹750	₹1,250
Staff (launch)	2 (3rd from Y2)	Motion	₹1,000	₹1,750
Floor area	1,142 sq ft (8.73×12.15 m)	Blended ₹1,218/hr net of GST (Year 1).		
Hours	12 / day			
Capacity	2,496 rig-hrs / month			

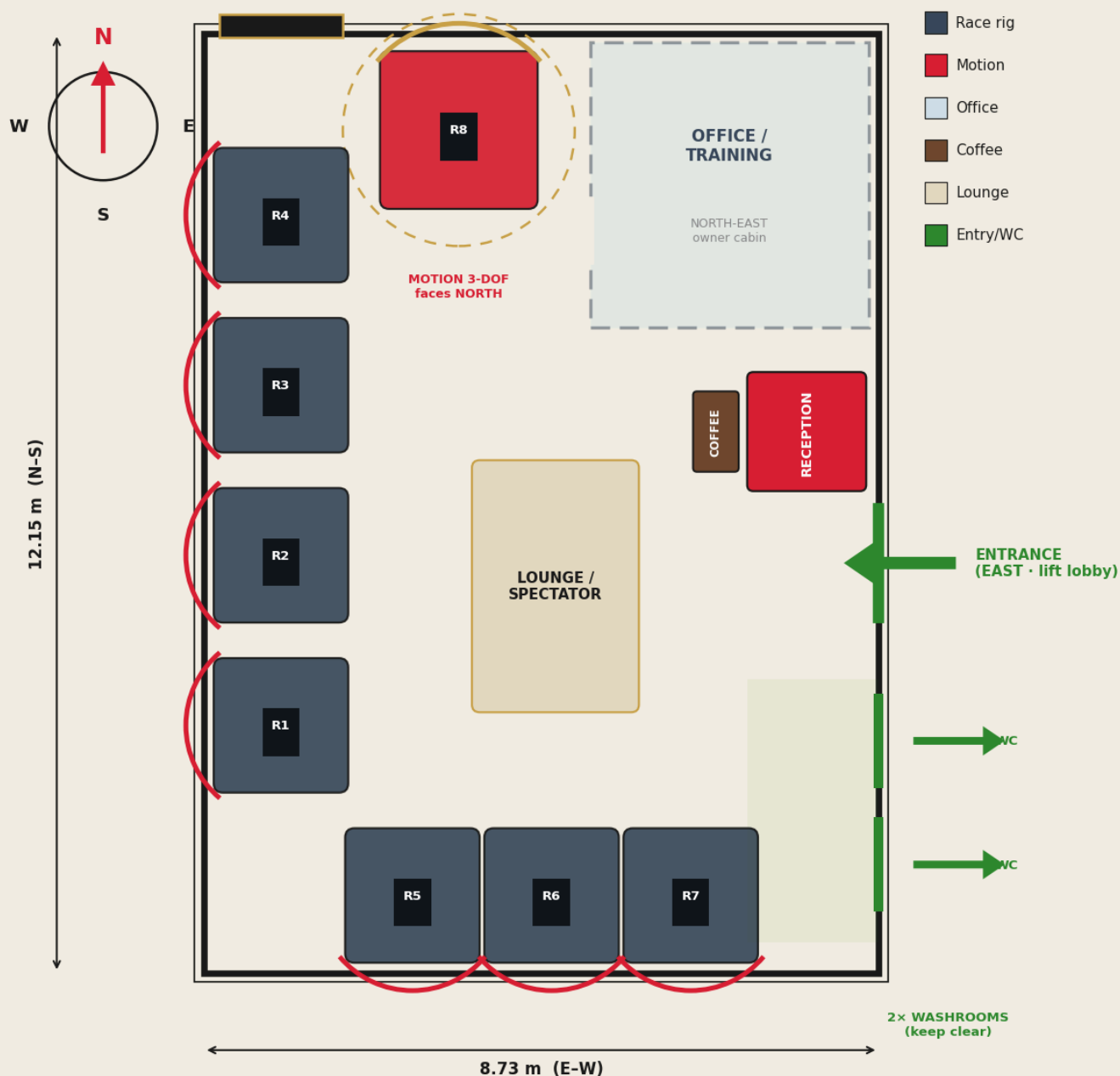
2 · Floor Plan

NORTH-UP · VASTU-ORIENTED · 1,142 SQ FT

RaceSims · Chennai

FLOOR PLAN v7 — North up · all rigs face the walls

Entrance = EAST · Office = NORTH-EAST · Motion faces NORTH · screens against walls



Entrance EAST · office/training NORTH-EAST corner · motion rig faces NORTH · 7 static rigs on the west & south walls (screens against the walls) · reception + small coffee counter on the east wall · lounge centre.

3 · 3D Layout & Design

INTERACTIVE MODEL — NORTH-UP VIEW



Looking from the south so North is away and East is to the right — matching the floor plan.

Look & feel

Exposed black-painted ceiling (industrial look, no false ceiling), track + warm pendant lighting, brushed-steel reception, gaming carpet, acoustic panels, and the property's large perimeter windows (solar film + blinds). The 3-DOF motion rig is the visual hero; the central lounge keeps the room open for spectating.

4 · Capital, Fit-out & Cost of Capital

CAPITAL	AMOUNT
8 rigs (7 race + 1 motion) · distributor cost	₹50,79,200
Security deposit (6 mo · refundable)	₹9,31,500
Fit-out (room-only · itemised below)	₹16,10,000
Working capital (2 months)	₹6,11,000
Contingency (5%)	₹3,81,535
Gross investment	₹86,12,735
less GST input credit	(₹9,83,547)
Net cash deployed	₹76,29,187
of which deposit (refundable)	(₹9,31,500)
Capital truly at risk	₹66,97,687

Cost of capital: 8% p.a. blended (part loan / part own) = ₹6.10L/yr. Rigs at cost are worth ₹85–95L retail — a resaleable asset that de-risks the financing.

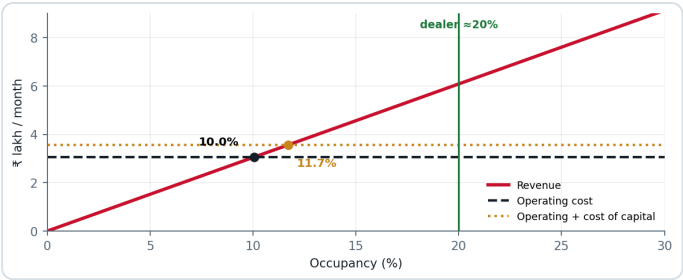
FIT-OUT (ROOM-ONLY)	₹
Air conditioning — 8 T (ceiling-suspended / high-wall inverter)	₹3,80,000
In-room electrical — rig points, sub-DB, 6 KVA UPS + stabilisers	₹90,000
Window solar film/tint + internal blinds	₹90,000
Flooring — gaming carpet + vinyl	₹1,10,000
Black ceiling + wall paint (exposed look)	₹50,000
Acoustic panels	₹60,000
Lighting — LED track + pendant lamps + accent	₹1,00,000
Glass office / training partition + door	₹1,10,000
Reception counter (steel) + coffee station	₹1,50,000
Furniture — lounge, spectator, office	₹1,30,000
Branding — name boards (at cost) + interior graphics	₹95,000
TVs — 65" leaderboard + aux (value units)	₹60,000
Networking — simple switch + fibre + Wi-Fi	₹30,000
Ambient audio — speakers + amp	₹40,000
CCTV — 6 cameras + NVR	₹50,000
Access control — biometric attendance + e-lock	₹45,000
Mobile billing + misc	₹20,000
Total fit-out	₹16,10,000

Brand-new building — power & fire systems already in place; this is the in-room scope only. AC is ceiling-suspended/high-wall (no false ceiling, exposed look).

5 · Operating Costs & Break-even

MONTHLY COST (Y1)	₹
Rent	₹155,250
Electricity	₹45,000
Staff (2)	₹50,000
Rig upkeep + reserve	₹24,000
Building maintenance	₹17,250
Office supplies	₹10,000
Internet	₹4,000
Total	₹3,05,500

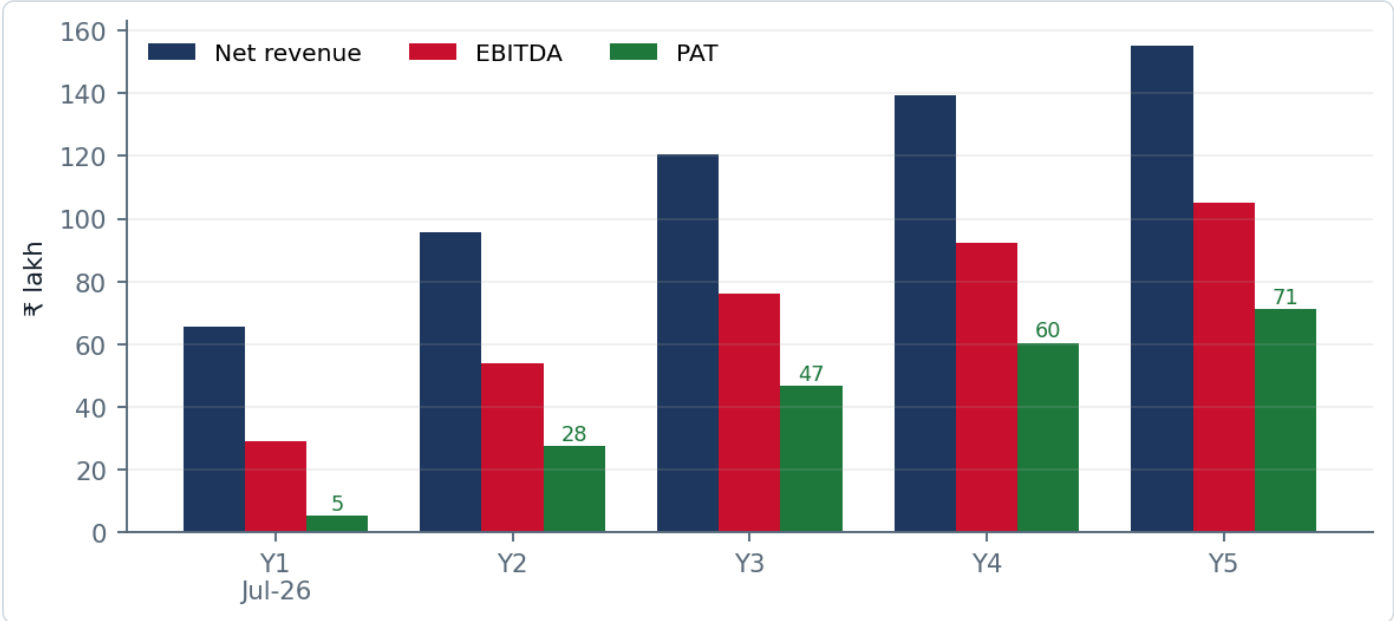
Pricing GST-inclusive; blended ₹1,218/hr net. Capacity 2,496 rig-hrs/mo. Cost grows ~6%/yr; 3rd staffer from Y2.



Operating break-even 10.0%; incl. 8% cost of capital 11.7%. Dealer ~20%.

6 · Five-Year Financial Forecast

BASE CASE · CONSERVATIVE · OPENS JULY 2026



₹ LAKH	Y1 · JUL-26	Y2	Y3	Y4	Y5
Occupancy	18%	25%	30%	33%	35%
Net revenue	65.7	95.8	120.7	139.4	155.2
Operating cost	36.7	41.9	44.4	47.0	49.9
EBITDA	29.0	53.9	76.3	92.4	105.3
EBITDA margin	44%	56%	63%	66%	68%
less Depreciation	15.8	11.0	7.7	5.5	4.2
less Cost of capital (8%)	6.1	6.1	6.1	6.1	6.1
Profit before tax	7.1	36.8	62.5	80.8	95.0
less Tax (25.17%)	1.8	9.3	15.7	20.3	23.9
Profit after tax	5.3	27.5	46.8	60.4	71.1

5-year totals: cumulative EBITDA ₹3.57 cr · PAT ₹2.11 cr · capital multiple ~2.8x on ₹76.3L. Café & academy excluded — pure upside.

7 • Year-1 Detail & Payback

YEAR-1 P&L (₹L)	GOOD	SLOW
Net revenue	66.0	45.3
Operating cost	(36.7)	(36.7)
EBITDA	29.3	8.6
Depreciation	(15.8)	(15.8)
Cost of capital	(6.1)	(6.1)
Profit before tax	7.4	(13.3)
Tax @ 25.17%	(1.9)	–
Profit after tax	5.5	c/f

Full-year depreciation (July start >180 days in FY27).



Tax upside: 80-IAC exemption (if claimed) zeroes Y1–Y2 tax (~₹12L). **Y3:** ~₹12L PC/GPU refresh from the maintenance reserve.

8 • Execution Timeline

PHASE	WINDOW	MILESTONES
0 • Validate	Mar 2026	Call Uday • CA brief (SAC/80-IAC) • venue lock • rig pro-forma • go/no-go
1 • Lease & legal	Apr 2026	Registered lease • S&E + trade licence • order rigs (8-wk lead) • VMS kickoff • hire lead
2 • Fit-out & build	May–Jun 2026	AC + in-room electrical • flooring/ceiling/branding • networking • rigs cleared & installed
3 • Commission	late Jun 2026	Systems test • staff training • 30-guest soft launch
4 • Launch & ramp	Jul 2026	Public open • ARKA media • Hot Lap #1 • month-4 checkpoint

9 • Risks & Key Assumptions

RISK	MITIGATION
Demand below ~20% dealer benchmark	Break-even 10–11.7% leaves a wide cushion; pre-sell corporate/experiences
Premium-price resistance	Protect headline rate; value via memberships, Hot Lap, off-peak
Equipment failure (motion rig)	Maintenance reserve + in-house servicing; rigs resaleable at retail
Slow first 4–5 months	Hold ~₹17L runway buffer separate from capital

Assumptions. Pricing GST-inclusive (master rate card); revenue net of 18% GST. Occupancy 18→35% base case. Blended rate +5%/yr; operating cost +6%/yr (3rd staffer Y2). Cost of capital 8% p.a. on ₹76.3L. Full corporate tax (25.17%); no startup exemption banked. Depreciation WDV. Brand-new building (power + fire in place) — fit-out is room-only; AC ceiling-suspended/high-wall (no false ceiling). Café & academy revenue excluded (upside). Management estimates for planning. • RaceSims • Chennai • Racesims Solutions Pvt Ltd • July 2026